

MUMIAS SUGAR COMPANY LIMITED

THE HOME OF NATURAL KENYAN SWEETNESS

ABRIDGED UNAUDITED RESULTS SIX MONTHS ENDED DECEMBER 2016

CONDENSED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED DECEMBER 2016

	Six Months to Dec 2016	Six Months to Dec 2015 Restated
Net Revenue	Shs'000 1,529,136	Shs'000 2,977,321
Cost of Sales	(2,968,290)	(3,390,678)
Gross Loss	(1,439,154)	(413,357)
Other Income	39,205	43,274
Fair value Loss on biological produce	(39,717)	(18,882)
Impairment of Assets	(588,486)	-
Total costs	(1,764,247)	(1,840,981)
Loss before taxation	(3,792,399)	(2,229,946)
Taxation Credit	872,252	668,984
Loss after taxation	(2,920,147)	(1,560,962)
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	(2,920,147)	(1,560,962)
Earnings per share - basic & diluted	Shs (1.91)	Shs (1.02)

CONDENSED STATEMENT OF FINANCIAL POSITION AS AT DECEMBER 2016

	December 2016 Shs'000	June 2016 Shs'000 Restated
ASSETS		
Non-current assets	23,966,797	25,223,144
Current assets	2,737,642	1,853,378
TOTAL ASSETS	26,704,439	27,076,522
EQUITY AND LIABILITIES		
Shareholders' equity	4,831,431	7,751,578
Non-current liabilities	9,377,360	8,498,906
Current liabilities	12,495,648	10,826,038
TOTAL EQUITY AND LIABILITIES	26,704,439	27,076,522

CONDENSED STATEMENT OF CHANGES IN EQUITY FOR SIX MONTHS ENDED DECEMBER 2016

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2015	3,060,000	1,955,580	916,464	5,932,044
Total comprehensive loss for the period - 2015	-	-	(1,560,962)	(1,560,962)
At 27 December 2015 (Restated)	3,060,000	1,955,580	(644,498)	4,371,082
At 1 July 2016 (Restated)	3,060,000	7,093,105	(2,401,527)	7,751,578
Total comprehensive loss for the period - 2016	-	-	(2,920,147)	(2,920,147)
At December 2016	3,060,000	7,093,105	(5,321,674)	4,831,431

CONDENSED STATEMENT OF CASH FLOWS FOR SIX MONTHS ENDED DECEMBER 2016

	2016 Shs'000	2015 Shs'000 Restated
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash used in operations	(816,416)	(991,700)
CASH FLOWS FROM INVESTING ACTIVITIES		
Net cash used in investing activities	(83,115)	(60,236)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net cash generated from financing activities	595,534	1,000,000
DECREASE IN CASH AND CASH EQUIVALENTS	(303,997)	(51,936)
CASH AND CASH EQUIVALENTS AS AT 1 st JULY	(2,194,548)	(2,002,149)
CASH AND CASH EQUIVALENTS AS AT DEC 2016	(2,498,545)	(2,054,085)

SEGMENT INFORMATION

	Sugar Ksh'000	Cogen Ksh'000	Ethanol Ksh'000	Water Ksh'000	Total Ksh'000
Revenue	1,075,891	-	452,869	376	1,529,136
Cost of Sales	(2,284,732)	(309,751)	(360,766)	(13,040)	(2,968,290)
Gross Loss	(1,208,841)	(309,751)	92,102	(12,664)	(1,439,154)
Other Income	39,205	-	-	-	39,205
Fair value Loss on biological produce	(39,717)	-	-	-	(39,717)
Impairment of Assets	-	(588,486)	-	-	(588,486)
Total Other Costs	(1,457,107)	(81,586)	(221,127)	(4,427)	(1,764,246)
LBT (DEC 2016)	(2,665,461)	(979,823)	(129,624)	(17,090)	(3,792,399)
LBT (DEC 2015)	(1,821,131)	(392,315)	50,313	(66,814)	(2,229,946)

BASIS OF PREPARATION

These condensed unaudited interim financial statements have been prepared in accordance with International Accounting Standard No. 34, "Interim Financial Reporting". They do not include all the information required for full annual financial statements and should be read in conjunction with the annual audited financial statements as at and for the year ended 30 June 2016, which have been prepared in accordance with International Financial Reporting Standards. The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in preparation of the annual financial statements as at and for the year ended 30 June 2016 except for Property Plant and Equipment where the company has adopted the amendments to IAS 16 and IAS 41 titled Agriculture: Bear-er Plants (issued in June 2014, applicable to annual periods beginning on or after 1 January 2016).

SUGAR INDUSTRY

According to the International Sugar Organization, developing countries account for 67% of global sugar consumption, and are expected to be the primary sources of future demand growth. Global consumption continues to expand, averaging 1.93% over the past decade, driven largely by rising incomes, population growth and shifting dietary patterns. Global raw sugar monthly average prices, after falling for over a year and bottoming at less than 11 cents per pound in August 2015, have been trending higher to near 23 cents in October 2016. Despite high prices, consumption is forecast at a record 174 million tons, drawing stocks down to the lowest level since 2010/11. The global sugar deficit narrows from 6.7 million tons in 2015/16 to a forecast 2.6 million. Despite production gains in 2016/17, low stock levels portend another year of rebuilding supplies amid strong prices.

During the period under review, the Interim Sugar Cane Pricing Committee reviewed sugar cane prices upwards, which increased the company's cost of production. The sugar industry continued to experience a shortage of sugar cane in the Western Kenya sugar belt with negative consequences on the raw material requirements of the company. Proliferation of mills without cane development programs continues to generate fierce competition for the available cane in the Western region with capacity outstripping raw material availability. Volatile weather patterns coupled with soil exhaustion has led to decline in cane yields.

According to the U.S Department of Agriculture's bureau in Nairobi, Kenya's sugar output in July 2016-June 2017 season is forecast to drop

10% to 520,000 metric tons as cane farmers in Western Kenya move into other areas of production due to low returns.
At the beginning of the second half of the year, local sugar market continued to experience stable sugar and ethanol prices.

¹ <https://apps.fas.usda.gov/pdonline/circulars/sugar.pdf>
² http://www.sugarsugarline.com/webiste_contents/view/1245198

CHALLENGES FACING THE COMPANY

Raw material shortage and consequent factory underutilization are the main challenges facing the Company. These factors have resulted in high unit cost of production.

RESULTS OVERVIEW

The company recorded net revenue of KES 1.529 billion, down from KES 2.977 billion, a decline of 49% over the previous year. LBT deepened to KES 3.792 billion, a drop of 70% over the KES 2.230 billion loss incurred during a similar period last year. Raw material shortage leading to low factory capacity utilization were the major factors for this decline.

OPERATIONS

The cane shortage experienced over the period saw the factory operating below capacity hence high cost of production.

Sugar

Sugarcane crushed totaled 319,746 tons which was 45% lower than the 581,541 tons crushed in the previous year. Sugar produced was 12,197 tons which was 67% lower than 36,510 tons produced over a similar period last year. During the same period, the company sold 12,175 tons of sugar which was 66% below 36,333 tons sold over the same period last year.

Energy

Negotiations are progressing with Kenya Power in regard to the Power Purchase Agreement, the delinking of the domestic back-feed from the industrial complex and reconnecting to the national grid. Due to low production and capacity utilization, exports to the grid were not undertaken during the period hence no power export revenue was earned.

Ethanol

Revenue from ethanol increased by 4% to KES 453 million compared to KES 435 million generated during a similar period last year. Average Ethanol prices increased from KES 91 to KES 95 in the current period.

OUTLOOK

The company envisages cane shortages running through the second half of the year. MSC has planned for its future through an accelerated cane development plan with the core focus being on increasing land under the company's control. The outcome of this plan will be realized in subsequent periods.

Despite the challenges highlighted, the company is cautiously optimistic that its mid to long term future will improve. The world sugar market continues to experience a deficit due to declining sugar production in the main sugar producing countries, impacting positively on the global sugar price and the COMESA region. The price of sugar has increased locally and is forecast to remain stable, noting that Kenya negotiated an extension of the COMESA safeguards, due to expire in February 2019. The ethanol price is forecast to decline as a result of increase in ethanol production by other millers who are diversifying into ethanol production.

The Board and Management are fully committed to pursuing the following strategies aimed at better company performance:

- Accelerated cane development plans with core focus being increasing land under the company's control. Additionally, engaging with farmers to boost farmer loyalty and enhance supply of raw material.
- Improved capacity utilization of the ethanol plant
- Restructuring of existing long term loans involving rescheduling of repayments.
- Collaborating with shareholders, including GoK as the significant shareholder, for additional funding.
- Controlling cost of production, administration and marketing.
- Streamlining the organization structure in order to have in place a lean and efficient structure.

DIVIDENDS

The Board of Directors does not recommend payment of an interim dividend for the first half of the year.

BY ORDER OF THE BOARD

DR. KENNEDY NGUMBAU MULWA
CHAIRMAN





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**THE CAPITAL MARKETS (SECURITIES) (PUBLIC
OFFERS, LISTINGS AND DISCLOSURES
REGULATIONS, 2002) AMENDED 2012**

PROFIT WARNING ANNOUNCEMENT

Pursuant to Capital Markets (Securities) (Public Offers, Listings and Disclosures regulations, 2002) Amended 2012, Mumias Sugar Company Limited ("the Company") hereby announces that the projected loss for the year ending 30th June, 2017 will be more than 25% compared to the loss reported for the same period in 2016.

Raw material shortage and consequent factory underutilization are the main challenges facing the Company resulting in high unit cost of production.

The Board of Directors is taking measures to safeguard shareholder value in responding to the challenges facing the company including cost management, accelerated cane development plans, improved capacity utilization of the ethanol plant, restructuring of existing long term loans and collaborating with shareholders for additional funding.

BY ORDER OF THE BOARD

DR. KENNEDY NGUMBAU MULWA
CHAIRMAN

27th February 2017

